

| A Look at Telephony Rates (in Rs) |          |      |          |           |
|-----------------------------------|----------|------|----------|-----------|
|                                   | ISD      | Sify | Caltiger | Net4India |
| USA                               | 45 to 50 | 7    | 3        | 4.95      |
| Canada                            | 45 to 50 | 7    | 3        | 4.95      |
| UK                                | 34 to 40 | 8    | 3        | 4.95      |
| Germany                           | 34 to 40 | 8    | 5        | 4.95      |
| France                            | 34 to 40 | 8    | 5        | 4.95      |
| Hong Kong                         | 23 to 27 | 9.5  | 5        | 5.46      |
| Australia                         | 34 to 40 | 8.25 | 5        | 6.55      |
| Japan                             | 34 to 40 | 7.50 | 5        | 7.64      |
| Dubai                             | 23 to 27 | 11   | 8        | 27.01     |
| Singapore                         | 23 to 27 | 11   | 8        | 4.95      |

As of now, only a few providers have their rates in place, which are subject to change

10-minute phone call over PSTN lines would occupy the entire bandwidth for the entire duration of the call.

With VoIP speaking the same language as the Internet, Internet telephony works the same way too. Each spoken word is turned from audible tones into scattered digital bits of data. These packets are then squashed to sizes (through a special speech compression formula) tiny enough for even dial-up lines to handle. It does compromise on speech quality to an extent, but that's a small price you pay for the money you save using IP telephony.

### What's available

Internet telephony services can be broken down into three categories: PC-to-PC, PC-to-phone and phone-to-phone. Of these, PC-to-PC is absolutely free of cost. And with phone-to-phone being ruled out by the telecom regulating authority, PC-to-phone is the segment that ISPs have their sights set on.

Across the nation, ISPs are either gearing up to announce or

### Looking Ahead

With a forthcoming slash in ISD rates, it's natural to wonder how successful VoIP will be in the long run. For now, we relish the luxury of VoIP only because it's comparatively cheaper than other options. But once the price gap starts to close, will our attitudes change as a result?

That's highly unlikely. VoIP offers too much in terms of cost benefits and flexibility in usage to be put aside and forgotten. In fact, telecom leaders in the West such as AT&T and MCI WorldCom, have gone as far as shifting their underlying infrastructure to VoIP technologies. So what does all this mean for us? Plenty. The next few years are crucial in widespread adoption of Internet telephony in the country. Visionaries can foresee PCOs functioning as long-distance call centres using this breakthrough in Internet technology. As the market opens and accommodates more players into the foray, the competitive spirit will lead to even greater improvements in voice quality and service, not to mention the imminent drop in calling prices.

With its future shining so brightly, it will soon be difficult to picture a life without VoIP. Considering its long-term cost benefits, we're at a loss to explain why it was shunned in the first place. But, as we said earlier, after April 1, the world is indeed a smaller place.

have already announced their VoIP packages ready for use today! Caltiger, Satyam Infoway and HCL Infinet are just a few of the ISPs that already have their services up and running. Each ISP that we've come across expressed an interest in presenting a pre-paid service model as opposed to a post-paid billing cycle.

Before you leap to the cheapest per-minute deal, you must exercise some caution. There is certainly some strong reasoning behind the price disparities—in a word, its quality. Details regarding how much bandwidth the service presently carries and who are its technology partners are some of the points that may explain higher rates charged by some service providers. In the end, it's crucial to experience the best sound quality possible, otherwise you would not catch every sigh,

every nuance of the conversation while talking with people around the world. Before committing to a service plan, ask the vendor for a test drive. The ones who are confident about their service will oblige, those trying to pull a fast one on you will attempt to divert your attention.

### A comparative look

For a country where ISD tariffs are higher than in most developed nations, Internet Telephony is welcome news in India. But as usual, anything the government declares legal seems to have a few strings attached. For starters, while you can call a PC or a phone in many countries across the world, you can't reach out and call the 36 million basic telephone holders in India. Nor will you be able to call the millions of cell phone subscribers. If you think that sounds ridiculous, here's the punch line: you cannot even place a call to the police or other emergency services! Within India, only PC-to-PC calls are permitted.

Aside from local call restrictions, there are issues of voice quality. Though a call overseas could be cheaper through VoIP, it'll lack the clarity of a telephone call. But for most people, a little static and noise interrupting their voice won't be a deterrent, considering the amount of money being saved.

Fortunately, bandwidth isn't a problem, not even in India. A somewhat clear and speedy connection to a phone in the UK—or any place else abroad—can be possible through a majority of the country's dial-up lines. For the most part, broadband users will experience the same quality of speech across their Net connections as any other. At best, a quicker connection would further eliminate sporadic break-ups in conversation caused by slowdowns in speed.

Getting down to it, perhaps the biggest con of VoIP is the need for a PC or an IP telephone; two expensive investments out of reach for many. No matter how cost-effective phone calls over the Net may be, factor in the price of a shiny new PC and then watch the scale turn against your favour. Unless you're constantly connected with foreign shores, it could be cheaper in the long run to just do it the old fashioned way.

Although it will take some time, eventually all circuit-switched networks will be replaced with packet-switching technology. IP telephony makes sense in terms of both economics and infrastructure requirements. More and more businesses are installing VoIP systems, and the technology will continue to grow in popularity as it makes its way into our homes. ■

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